

Exam-type questions

1. Facing a rapid growth in customers from the mainland, a Hong Kong airline decided to increase the proportion of Putonghua-speaking flight attendants.

The decision is to tackle the basic economic problem(s) of _____.

- A. 'what to produce'
- B. 'how to produce'
- C. 'for whom to produce'
- D. 'what to produce' and 'for whom to produce'

2. Which of the following statements are related to the problem of 'for whom to produce'?

- (1) The eligible age for the \$2 Scheme is lowered to 60 years old.
- (2) The Consumption Voucher Scheme is extended to citizens living in Hong Kong for more than 12 months.
- (3) Cathay Pacific holds a lucky draw for 75,000 free air tickets in the 'Hello Hong Kong' campaign.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

- ★3. The government has a new restriction on selling its residential land: 10% of the flats must be allocated for the elderly and an elderly centre must be built.

The new restriction on land use is related to the _____ question(s) in economics.

- A. 'what to produce'
- B. 'how to produce'
- C. 'for whom to produce'
- D. 'what to produce' and 'for whom to produce'

4. In response to the shortage in the residential housing market, the government has converted some existing industrial buildings into residential flats.

This is an example of using _____ to solve the problem of _____.

- A. government command 'how to produce'
- B. government command 'for whom to produce'
- C. the market mechanism 'how to produce'
- D. the market mechanism 'for whom to produce'

5. Which of the following is a characteristic of a planned economy?

- A. Most production activities are carried out by the government.
- B. Most resources are allocated by the government.
- C. No factors of production in the economy are privately owned.
- D. There is no competition in the economy.

- ★6. Which of the following statements about a market economy are correct?

- (1) The government still has a role in regulating business activities in the economy.
- (2) Most resources will be allocated by the market mechanism.
- (3) Private property rights of all resources are well-defined.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

7. If a planned economy turns into a market economy,

- A. scarcity will no longer exist.
- B. the unemployment rate will be higher.
- C. the income gap between the rich and the poor will be higher.
- D. more factors of production in the economy will become privately owned.

8. Joey bought a handbag from a shop opened by a famous designer. She said, 'I have private property rights to this handbag.'

Which of the following rights would Joey have after the purchase of the handbag?

- (1) To use the handbag whenever she likes
 - (2) To produce another handbag with a similar design
 - (3) To leave the handbag in her wardrobe without using it
 - (4) To lend the handbag to a friend and ask for a lunch in return
- A. (1), (2) and (3) only
 B. (1), (2) and (4) only
 C. (1), (3) and (4) only
 D. (2), (3) and (4) only

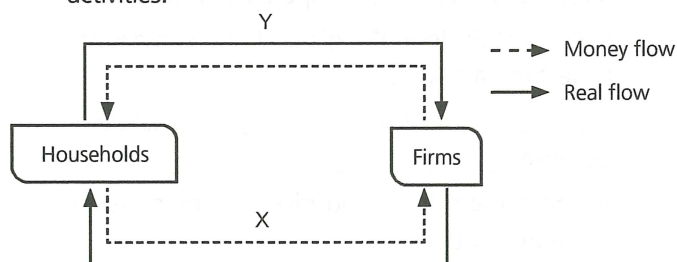
- ★9. Refer to the following information:

Under the hire-before-purchase¹ scheme, the driver cannot use the car for commercial purposes. No other drivers should be allowed to drive the car. The ownership will not be transferred to the buyer until the end of the scheme.

Compared with a privately owned car, _____ will be weakened for those buying a car via the above scheme.

- (1) the right to use
 - (2) the right to receive income
 - (3) the right to transfer
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)

10. Refer to the following circular flows of economic activities.



X and Y stand for _____ and _____ respectively.

- A. households' expenditure goods and services
 B. firms' revenue factor service
 C. firms' production cost factors of production
 D. factor service firms' revenue
11. Which of the following about a normative statement is correct?
- A. It is inconsistent with facts.
 B. People may disagree about no matter how much information is obtained.
 C. It contains no value judgement.
 D. It can be rejected by the data.
12. Which of the following statements is a positive statement?
- A. The market mechanism is better than tradition in allocating resources.
 B. Governments should increase unemployment benefits during an economic downturn.
 C. Building a hospital is more important than building a government office.
 D. An increase in welfare spending will lower the employment rate.

¹ hire-before-purchase 先租後買

- ★13. Statement 1: The low profits tax rate is one of the major reasons for the prosperity of Hong Kong.
Statement 2: Hong Kong's profits tax rate is the lowest in East Asia.

_____ is a _____ statement because _____.

- A. Statement 1 positive most people agree with it
- B. Statement 1 normative it can be refuted by the real world data
- C. Statement 2 positive data can be used to check whether it is correct
- D. Statement 2 normative value judgment is involved in the statement

14. A Japanese railway company has introduced a rail pass for foreign tourists, allowing unlimited train rides during its validity period. The pass is non-transferable and can be purchased with a foreign passport.

Which of the following descriptions about the rail pass is/are correct?

- (1) The distribution of the rail pass involves both price and non-price competition.
 - (2) Foreign tourists have the complete set of private property rights over the rail pass.
 - (3) This is an example of using the market mechanism to solve the problem of 'for whom to produce'.
- A. (1) only
 - B. (1) and (2) only
 - C. (1) and (3) only
 - D. (2) and (3) only

15. To prevent youth gangs¹, it is suggested that any person aged under 18 be prohibited from entering convenience stores from 12am to 6am.

- (a) Which basic economic problem is related to such a suggestion? Explain. (2 marks)
- (b) 'The above suggestion will not help reduce youth gangs.' Explain whether this is a positive statement. (2 marks)

16. The tickets for a show are sold on a 'first-come, first-served' basis. In view of the long queue, the organiser switches the selling method to a ballot. Anyone who wants to buy a ticket can register online and the winners of the ballot will be entitled to buy the ticket at the official price.

- (a) 'There is no discrimination when selling the tickets by ballot as everyone has an equal chance to purchase the ticket.' Do you agree? Explain. (2 marks)
- (b) 'Selling by ballot is a fairer way than first-come, first-served.' Is this statement a positive or normative statement? Explain your answer. (2 marks)

- ★17. Refer to the following information.

DATA

In the UK, government regulations require all properties to have an energy performance certificate (EPC) rating of E or higher before being let to tenants.

- (a) What are private property rights? Explain how private property rights over a property are affected by the above regulation. (4 marks)
- (b) 'The government should further tighten the energy efficiency requirement as it reduces global warming.' Explain whether the statement is a positive statement. (2 marks)
- (c) Explain ONE basic economic problem to which the energy efficiency requirement is related. (2 marks)

Extended activities

1. Suppose you are the chairperson of the Student Union. Suggest an activity that you would organise, how you would obtain funding for the activity, and who would benefit from the activity. Explain how your choices on the above address the three basic economic problems. Present your findings in class.
2. As the chairperson of the Student Union, you have 10 concert tickets to allocate to students. Decide one criterion for price competition and one for non-price competition to allocate the tickets. Discuss the advantages and disadvantages of each method. Present your findings in class.